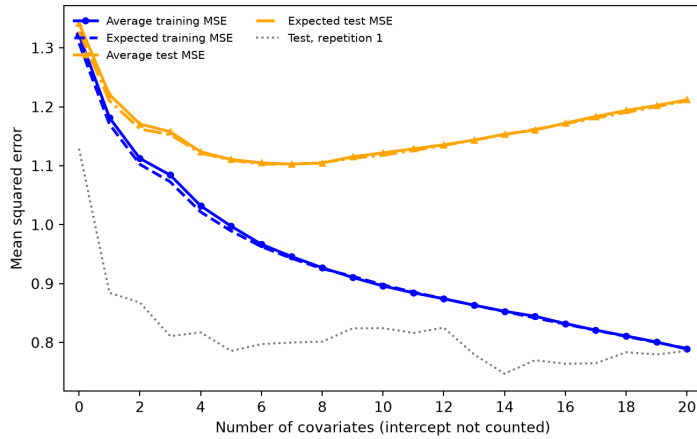
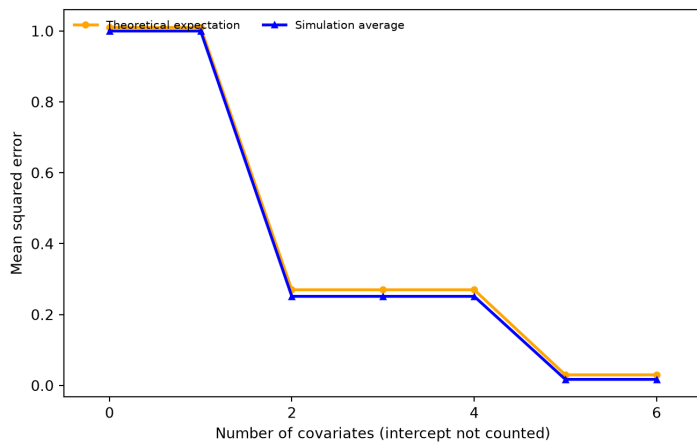


# Homework 02

## Question 1: Training and test error under a fixed design



## Question 2: Prediction error at one target point



When an irrelevant local predictor with  $x_0 = 0$  is added to the model, its coefficient-estimation noise does not impact the local prediction because its contribution is multiplied by zero:  $b_j x_{0j} = 0$ .

## Question 3: The optimism correction

### Part a

The training residual is

$$\mathbf{y} - \mathbf{H}\mathbf{y} = (\mathbf{I}_n - \mathbf{H})\boldsymbol{\mu} + (\mathbf{I}_n - \mathbf{H})\boldsymbol{\epsilon}.$$

Let  $\mathbf{M} = \mathbf{I}_n - \mathbf{H}$ . Then  $\mathbf{M}$  is symmetric and idempotent. Expanding the squared norm gives

$$\text{MSE}_{\text{train}} = \frac{1}{n} (B^2 + 2\boldsymbol{\mu}^\top \mathbf{M} \boldsymbol{\epsilon} + \boldsymbol{\epsilon}^\top \mathbf{M} \boldsymbol{\epsilon}).$$

The cross term has expectation zero. Also,

$$E(\boldsymbol{\epsilon}^\top \mathbf{M} \boldsymbol{\epsilon} \mid \mathbf{X}) = \sigma^2 \text{tr}(\mathbf{M}) = \sigma^2 \{n - (p + 1)\}.$$

Therefore,

$$E(\text{MSE}_{\text{train}} \mid \mathbf{X}) = \frac{B^2}{n} + \sigma^2 \left(1 - \frac{p+1}{n}\right).$$

For the test response,

$$\mathbf{y}^* - \mathbf{H}\mathbf{y} = (\mathbf{I}_n - \mathbf{H})\boldsymbol{\mu} + \boldsymbol{\epsilon}^* - \mathbf{H}\boldsymbol{\epsilon}.$$

The test-error noise is independent of the training noise, and the cross terms have expectation zero. Since  $\text{tr}(\mathbf{H}) = p + 1$ ,

$$E(\|\boldsymbol{\epsilon}^* - \mathbf{H}\boldsymbol{\epsilon}\|_2^2 \mid \mathbf{X}) = n\sigma^2 + (p+1)\sigma^2.$$

Thus,

$$E(\text{MSE}_{\text{test}} \mid \mathbf{X}) = \frac{B^2}{n} + \sigma^2 \left(1 + \frac{p+1}{n}\right).$$

## Part b

The expected optimism is

$$E(\text{MSE}_{\text{test}} - \text{MSE}_{\text{train}} \mid \mathbf{X}) = \frac{2(p+1)\sigma^2}{n}.$$

For  $n = 120$ ,  $p = 4$ ,  $B^2/n = 0.04$ , and  $\sigma^2 = 1$ :

$$E(\text{MSE}_{\text{train}} \mid \mathbf{X}) = 0.04 + 1 \left(1 - \frac{5}{120}\right) = 0.9983,$$

$$E(\text{MSE}_{\text{test}} \mid \mathbf{X}) = 0.04 + 1 \left(1 + \frac{5}{120}\right) = 1.082,$$

and

$$E(\text{MSE}_{\text{test}} - \text{MSE}_{\text{train}} \mid \mathbf{X}) = \frac{10}{120} = 0.0833.$$

These are expected values over repeated samples. For one realized pair of responses, random variation can cause the test MSE to be smaller than the training MSE.

## Part c

$$\widehat{\text{MSE}}_{\text{test}} = \frac{116.4 + 2(4+1)(0.96)}{120} = 1.05.$$

$$C_p = \frac{116.4}{0.96} - 120 + 2(4+1) = 11.25.$$

Their relationship is

$$\widehat{\text{MSE}}_{\text{test}} = \frac{\hat{\sigma}^2(C_p + n)}{n}.$$

When  $n$  and  $\hat{\sigma}^2$  are common to all candidate models, this is an increasing transformation, so minimizing  $C_p$  is equivalent to minimizing the corrected test MSE.

## Question 4: Comparing Mallows' $C_p$ , AIC, and BIC

RSS full model: 1089451.7212190419

Sigma<sup>2</sup> hat full model: 3034.6844602201722

RSS full A: 1098908.5656498766

RSS full B: 1089717.0567997107

Cp A: 8.116252959672977

BIC A: 3005.9482838558592  
AIC A: 2974.640259810753  
Cp B: 7.087434322792717  
BIC B: 3008.754011613133  
AIC B: 2973.5324845623886  
AIC and BIC fit term: 3.107775248364385  
Cp improvement: 3.028818636880295

## Question 5: Validation and final test data

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### Part a

The misuse begins at step 2 because the final test set is used to compare the candidate models and select  $m$ . Reporting the minimum of the eleven test MSE values gives an optimistic estimate of future prediction error because the minimum is likely to benefit from random variation.

### Part b

1. Split the training data into five folds.
2. For each candidate predictor count, compute its average MSE across the five validation folds and select the predictor count that minimizes the average five-fold error.
3. Refit the selected model using all the training observations.
4. Use the final test data once to evaluate the selected model.

### Part c

The eleven test MSE values and the fact that the smallest one was selected can be reported transparently, but the minimum should not be presented as an untouched final assessment. A new independent batch of test data, or genuinely future observations, is needed for a new final evaluation.

## Reference

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James, Witten, Hastie, Tibshirani, and Taylor, *An Introduction to Statistical Learning*, Chapters 3, 5, and 6.